# COMPANY A, INC.

## FORM 10-Q
## QUARTERLY REPORT

For the quarterly period ended June 27, 2026

All amounts are in millions of United States dollars unless stated otherwise.
Registered office: 1200 Harbour Way, Wilmington, Delaware 19801

Fictional training and test fixture. The issuer and all identifying details are invented.

# Management discussion and analysis

## Third quarter and year to date

Total net revenue for the three months ended June 27, 2026 was $109,417 million, compared with $94,036 million in the same quarter of fiscal 2025, an increase of 16.4%. For the first nine months of fiscal 2026, total net revenue was $364,357 million, up 16.2% from $313,695 million.

Net income was $29,789 million for the quarter, compared with $23,434 million a year earlier. Year-to-date net income was $101,464 million, compared with $84,544 million.

Research and development expense was $11,729 million for the quarter and $34,035 million year to date. Selling, general and administrative expense was $7,346 million for the quarter.

## Quarterly ratios

| Ratio | 3M 2026 | 3M 2025 | 9M 2026 | 9M 2025 |
|---|---|---|---|---|
| Gross margin (%) | 50.1% | 46.5% | 49.1% | 46.8% |
| Operating margin (%) | 32.6% | 30.0% | 33.6% | 32.1% |
| Net margin (%) | 27.2% | 24.9% | 27.8% | 27.0% |

Three-month and nine-month figures are unaudited. Margins are calculated on total net revenue.

## Condensed consolidated statements of operations

Three and nine months ended June 27, 2026 and June 28, 2025. In millions, except per-share amounts.

| | 3M 2026 | 3M 2025 | 9M 2026 | 9M 2025 |
|---|---|---|---|---|
| Total net revenue | 109,417 | 94,036 | 364,357 | 313,695 |
| Cost of revenue | 54,647 | 50,318 | 185,575 | 166,835 |
| **Gross profit** | **54,770** | **43,718** | **178,782** | **146,860** |
| Research and development | 11,729 | 8,866 | 34,035 | 25,684 |
| Selling, general and administrative | 7,346 | 6,650 | 22,315 | 20,553 |
| **Total operating expenses** | **19,075** | **15,516** | **56,350** | **46,237** |
| **Operating income** | **35,695** | **28,202** | **122,432** | **100,623** |
| Other income (expense), net | 572 | (171) | 670 | (698) |
| **Income before income taxes** | **36,267** | **28,031** | **123,102** | **99,925** |
| Provision for income taxes | 6,478 | 4,597 | 21,638 | 15,381 |
| **Net income** | **29,789** | **23,434** | **101,464** | **84,544** |

| **USD per share and shares in millions** | **3M 2026** | **3M 2025** | **9M 2026** | **9M 2025** |
|---|---|---|---|---|
| Earnings per share, basic | 2.03 | 1.57 | 6.91 | 5.64 |
| Earnings per share, diluted | 2.02 | 1.57 | 6.88 | 5.62 |
| Weighted-average shares, diluted | 14,714.7 | 14,948.2 | 14,750.3 | 15,051.7 |

# Condensed consolidated balance sheets

In millions

| Assets | June 27, 2026 | September 27, 2025 |
|---|---|---|
| Cash and cash equivalents | 39,544 | 35,934 |
| Short-term marketable securities | 22,855 | 18,763 |
| Accounts receivable, net | 31,398 | 39,777 |
| Inventories | 11,092 | 5,718 |
| Other current assets | 44,929 | 47,765 |
| **Total current assets** | **149,818** | **147,957** |
| Property, plant and equipment, net | 51,431 | 49,834 |
| Intangible assets, net | 25,417 | 13,301 |
| Other non-current assets | 156,600 | 148,149 |
| **Total assets** | **383,266** | **359,241** |

| Liabilities and shareholders' equity | June 27, 2026 | September 27, 2025 |
|---|---|---|
| Accounts payable | 64,525 | 69,860 |
| Deferred revenue, current | 9,538 | 9,055 |
| Accrued and other current liabilities | 75,263 | 86,716 |
| **Total current liabilities** | **149,326** | **165,631** |
| Long-term debt | 71,340 | 78,328 |
| Other non-current liabilities | 55,080 | 41,549 |
| **Total liabilities** | **275,746** | **285,508** |
| Common stock and additional paid-in capital | 100,702 | 93,568 |
| Retained earnings (accumulated deficit) | 11,326 | (14,264) |
| Accumulated other comprehensive income (loss) | (4,508) | (5,571) |
| **Total shareholders' equity** | **107,520** | **73,733** |
| **Total liabilities and shareholders' equity** | **383,266** | **359,241** |

## Condensed consolidated statements of cash flows

Nine months ended June 27, 2026 and June 28, 2025. In millions.

| | 9M 2026 | 9M 2025 |
|---|---|---|
| **Net income** | **101,464** | **84,544** |
| Depreciation and amortization | 9,973 | 8,571 |
| Share-based compensation | 10,523 | 9,680 |
| Changes in working capital and other operating items | (4,964) | (21,041) |
| **Net cash provided by operating activities** | **116,996** | **81,754** |
| Purchases of property, plant and equipment | 6,799 | 9,473 |
| **Net cash provided by (used in) investing activities** | **(18,811)** | **17,782** |
| **Net cash used in financing activities** | **(94,575)** | **(93,210)** |
| **Net increase (decrease) in cash** | **3,610** | **6,326** |
| Cash and cash equivalents, beginning of period | 35,934 | 29,943 |
| Cash and cash equivalents, end of period | 39,544 | 36,269 |

## Notes to the condensed financial statements

### 1. Basis of preparation

The condensed consolidated financial statements are unaudited and have been prepared on the same basis as the audited annual financial statements. The results for the nine months are not necessarily indicative of the results for the full year.

### 2. Outlook

For fiscal 2026 the company expects total net revenue between $445,000 million and $455,000 million, a gross margin between 46.0% and 47.0%, and an effective tax rate between 15.0% and 16.0%.

### 3. Share repurchases

During the nine months the company used $94,575 million in financing activities, principally for share repurchases and dividend payments.

### 4. Subsequent events

No events occurred after June 27, 2026 that require adjustment to, or disclosure in, these condensed financial statements.